

Types of Demand

With Examples

What is Demand?

- • The quantity of a product or service consumers are willing and able to buy.
- • Depends on price, income, tastes, preferences, etc.

1. Price Demand

- • Shows how quantity demanded changes with price.
- • Example: If the price of apples decreases, people buy more apples.

2. Income Demand

- • Shows how demand changes when consumer income changes.
- • Example: When income increases, demand for branded clothes increases (normal goods).
- • Demand for local/cheaper alternatives may decrease (inferior goods).

3. Cross Demand

- • Shows how demand for one product changes with the price of a related product.
- • Example (Substitute): If the price of coffee rises, demand for tea increases.
- • Example (Complement): If petrol price rises, demand for cars may fall.

4. Direct vs Derived Demand

- • Direct Demand: Demand for goods for direct consumption.
- Example: Buying food, clothes.
- • Derived Demand: Demand based on another product.
- Example: Demand for steel increases because car production increases.

5. Joint & Composite Demand

- • Joint Demand: Goods demanded together.
 - Example: Car and petrol, printer and ink.
- • Composite Demand: Goods used for multiple purposes.
 - Example: Electricity used for home, industry, and agriculture.

6. Individual vs Market Demand

- • Individual Demand: Demand of a single buyer.
 - Example: One person's monthly demand for milk.
- • Market Demand: Total demand of all consumers.
 - Example: Milk demand of the entire city.

7. Short-Run vs Long-Run Demand

- • Short-Run: Immediate reaction to changes.
- Example: Sudden rise in onion prices reduces demand quickly.
- • Long-Run: Adjusted demand over time.
- Example: People gradually shift to electric vehicles as petrol prices stay high.